IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.05/ALD/2021
Connected with
CA (CAA) No.03/ALD/2021

In the matter of
The Companies Act, 2013
And
In the matter of
Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
And

In the matter of

1. **Drishti Enterprises Private Limited,** a company incorporated under the Companies Act, 1956 (CIN: U74900UP2008PTC116707) having its registered its office at Shalimaar Elldee, Plaza opp. Hal Faisabad Road, Lucknow, Uttar Pradesh-226016

….. Petitioner Company No. 1/ Transferor Company-1

2. **Khushi Enterprises Private Limited**, a company incorporated under the Companies Act, 1956 (CIN-U74900UP2008PTC115359) having its registered office at Shalimaar Elldee, Plaza opp. Hal Faisabad Road, Lucknow, Uttar Pradesh-226016

….. Petitioner Company No. 2/ Transferor Company-2

3. **Sigma Services and Advertisers Private Limited,** a company incorporated under the Companies Act, 1956 CIN U74300UP1993PTC015252 having registered office at Chandpurharbans Dabhasemar Faisabad Uttar Pradesh-224133

….. Petitioner Company No. 3/ Transferor Company-3

4. **Starweb Impex Private Limited,** a company incorporated under the Companies Act, 1956 **CIN**: U51909UP2006PTC122502 having its registered office at C-13/124 Block Sector-36 Noida-201301Gautam Budh Nagar Uttar Pradesh-201301

….. Petitioner Company No. 4/ Transferor Company-4

With

5. **Green Garden Infraestate Private Limited,** a company incorporated under the provisions of the Companies Act, 1956 (CIN: U70102UP2012PTC051787) having its registered office at 119-A Faizabad Road, Near Indira Bridge, Lucknow Uttar Pradesh-226007

….. Petitioner Company No. 5/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order reserved on: 18.05.2022

—Sd—

Order pronounced on: 13.06.2022

Coram:

Shri Rajasekhar V. K.	:	Member (Judicial)
Shri Virendra Kumar Gupta	:	Member (Technical)

Appearances (via videoconferencing):

For the petitioner companies	:	Mr. Shahid Kazmi, Advocate Mr. R. C Sharma, PCS
For the Regional Director (NR), MCA	:	Mr Kuldip Singh, Asstt OL
For the Official Liquidator	:	Mr Kuldip Singh, Asstt OL

ORDER

Rajasekhar V. K., Member (Judicial)

1. The court convened through videoconferencing.

2. The present Joint Company Petition is filed by Petitioner Companies above-named under sections 230 and 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Scheme of Amalgamation of Drishti Enterprises Private Limited ***(Transferor Company No. 1)***, Khushi Enterprises Private Limited ***(Transferor Company No. 2)*** Sigma Services And Advertisers Private Limited ***(Transferor Company No. 3)*** and Starweb Impex Private Limited ***(Transferor Company No. 4)*** and with Green Garden Infraestate Private Limited (***Transferee Company)*** and their respective Shareholders and Creditors ***(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")***.

3. The petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows: -

   (i) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Transferor Companies and the Transferee Company in their respective Board Meetings held on 15.11.2019.

—Sd—

(ii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarised as under:

a. The proposed Scheme of Amalgamation will result in leveraging the human and physical resources of all the Companies which will enhance their profitability and long-term viability.

b. The Scheme of amalgamation will result in the usual economics of a centralised and larger company including reduction of overheads, better and more productive utilisation of various resources, and reduction in procedural & administrative works/costs.

c. The said scheme of amalgamation has been proposed, inter alia, to consolidate the group structure and provide for overall business efficiency, combine their managerial and marketing strength, streamline administration, build a wider capital and financial base and promote and secure overall interest and growth and economics of the Companies Concerned.

d. The said Scheme of Amalgamation will contribute to furthering and fulfilling the objects of the Companies concerned and in facilitating further expansion, growth, and development of their Business.

e. The said Scheme of Amalgamation will strengthen, consolidate and stabilise the business of the said companies and the resulting amalgamated company would be able to participate more vigorously and profitably in the competitive market scenario.

f. The Amalgamation would enable the pooling of managerial, financial, and human resources of the concerned companies for the most beneficial utilisation of these factors in the amalgamated company and lead to the emergence of a single large company with a strong financial base which will be able to withstand and achieve economies of scale.

g. The said Scheme of the merger will have beneficial results for the companies concerned, their shareholders, employee, and all concerned.

4. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under section 133 of the Companies Act, 2013 as certified by the Auditors of the Petitioner Companies.

—Sd—

5. It has also been stated in the Petition that no proceedings under sections 235 to 251 of the Companies Act, 1956 or under sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

6. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of all the Petitioner Companies and their respective shareholders and creditors as a whole and is just and equitable.

7. The Appointed Date of the Scheme is 31 December 2020.

8. This Tribunal *vide* its Order dated 19 February 2021, dispensed with the requirement of convening meetings of Equity Shareholders, secured creditors and Unsecured Creditors of the petitioner Companies considering the Scheme of Amalgamation.

9. In addition to the above this Tribunal further directed the Petitioner Companies to issue a notice and serve a copy of the Company Petition to the Central Government through the office of Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; Registrar of Companies, Uttar Pradesh, Kanpur; and Official Liquidator, High Court, Allahabad and to make paper publication thereof in English and Hindi newspapers.

10. In compliance with the above-stated direction the authorised representative of the applicant companies has filed an affidavit of service confirming such the notices are duly published in English *'The Business Standard'* dated 23 October 2021 and in Hindi *'The Business Standard'* dated 28 July 2021 Lucknow Edition. The Petitioners further served notices of the present Company Petition to the Central Government through the Office of Regional Director (Northern Region), Official Liquidator, Allahabad, and Registrar of Companies, Uttar Pradesh at Kanpur, and further to the jurisdictional Income Tax Office at Lucknow.

—Sd—

11. In response to the notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed his reply affidavit date in which observation has been made that on perusal of the financial statements of all the Transferor Companies 1 to 4, it is found that the said Transferor Companies are following activities of Non-Banking Financial Companies and they have not complied with the provisions of section 45-I of the Reserve Bank of India Act, 1934.

12. The Petitioner Companies in their Reply Affidavit stated that the Transferor Companies 1 to 4 are not involved in NBFC activities and invested its funds in group companies only and these funds shall be refunded or treated as per provisions of the Companies Act, 2013 and no other person or other than group companies are involved while providing fund-based requirements from time to time and these funds shall be refunded.

13. The Registrar of Companies, Uttar Pradesh, Kanpur filed its report, before this Tribunal reporting such that there is no prosecution, filed against the petitioner companies, nor any proceeding under section 210 to 228 of the Companies Act, 2013 is pending against them. Further, no violation is reported against it under section 203/134 of the Companies Act, 2013.

14. In response to the above stated notice, the Official Liquidator, High Court, Allahabad, has also submitted its report wherein it has been stated that the Official Liquidator has no objection to the dissolution of the Transferor Companies without winding up, pursuant to provisions of sections 230 and 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

15. The Income-Tax Department has not filed any representation within 30 days of service of the notice of the Petition. Hence, pursuant to section 230(5) of the Companies Act, 2013 read with rule 8(3) of the Companies it is presumed that the Income-Tax Department has no objection to the Scheme of Amalgamation filed by the Petitioner Companies.

—Sd—

16. We have gone through the reports of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur and Official Liquidator, Ministry of Corporate Affairs, Allahabad and the Reply Affidavit filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

17. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies. Therefore, the present Company Petition deserves to be allowed in terms of its prayer clause.

18. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition is hereby approved. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date, *i.e.*, 31 December 2020.

19. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any compliance with any other requirement which may be specifically required under any other law.

20. The Transferor Companies shall stand dissolved without undergoing the process of winding up with effect from the Appointed Date.

21. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttar Pradesh, Kanpur for registration.

—Sd—

22. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

23. Leave is granted to the Petitioners to file the Schedule of Assets and Liabilities within a period of sixty days.

24. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

25. Company Petition bearing CP (CAA) No. 05/ALD/2021 shall stand disposed of with the above directions.

26. Urgent certified copies of this order, if applied for, be supplied subject to usual formalities.

—Sd—

Rajasekhar V K

Digitally signed by Rajasekhar V K
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Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Swati Gupta (LRA)